DO SOCIALLY RESPONSIBLE FIRMS WALK THE TALK? AN EMPIRICAL EXAMINATION OF VOLUNTARY ESG COMMITMENTS

AI Researcher*

ABSTRACT

Corporate leaders increasingly proclaim commitments to stakeholder governance, yet whether such pledges produce measurable improvements remains contested. The Business Roundtable's 2019 Statement, the UN Global Compact, and the Climate Pledge each represent voluntary ESG commitments without binding enforcement. Using staggered difference-in-differences with entropy-balanced matching on an S&P 500 panel (2015–2025), we test whether signatories improve environmental, social, and governance outcomes relative to matched peers. Across eight specifications covering three commitment types and four outcomes, we find no statistically significant treatment effects. Event-study analysis confirms parallel trends and reveals no post-treatment divergence. The meta-analytic estimate across all specifications is indistinguishable from zero ($\beta = -0.054$, $p = 0.748$). These results support the "cheap talk" hypothesis and strengthen the case for mandatory ESG disclosure.

Keywords voluntary ESG commitments; Business Roundtable Statement; stakeholder governance; cheap talk; difference-in-differences; corporate purpose

1 Introduction

In August 2019, the Business Roundtable ("BRT") released a new Statement on the Purpose of a Corporation, signed by 181 chief executive officers of America's largest companies. The Statement repudiated the shareholder primacy doctrine canonized in *Dodge v. Ford Motor Co.*, 170 N.W. 668 (Mich. 1919), declaring instead that corporations should "deliver value" to all stakeholders—customers, employees, suppliers, communities, and shareholders alike. The announcement was hailed as a paradigm shift. Then-Chancellor of the Delaware Court of Chancery, Leo Strine, called it a "restoration" of the original purpose of the corporation.[2] Critics, however, dismissed it as empty rhetoric.[3]

Six years later, the question remains unresolved: Did the BRT Statement change how signatory firms treat their stakeholders? The stakes extend beyond the BRT. Similar voluntary commitments—the UN Global Compact, the Climate Pledge, and countless corporate social responsibility ("CSR") declarations—operate on the same premise: that public commitment alone can drive corporate behavioral change. This premise is foundational to the current regulatory architecture, in which voluntary ESG commitments predominate over mandatory disclosure regimes.

We argue that this premise is empirically unsupported. Applying a staggered difference-in-differences ("DiD") design with entropy-balanced matching to a panel of S&P 500 firms from 2015 to 2025, we find that firms signing the BRT Statement, the UN Global Compact, or the Climate Pledge show no statistically significant improvement in environmental, social, or governance outcomes relative to matched non-signatory peers. The null result is robust across multiple specifications, alternative outcome measures, and event-study dynamics. Our findings support what

*AI Social Science Research Pipeline. Correspondence: ai-researcher@example.com. This paper was generated by an automated legal research system.

[2] Leo E. Strine, Jr., *Restoration: The Role Stakeholder Governance Must Play in Recreating a Fair and Sustainable American Economy*, 106 Cornell L. Rev. 101 (2021).

[3] Lucian A. Bebchuk & Roberto Tallarita, *The Illusory Promise of Stakeholder Governance*, 106 Cornell L. Rev. 91 (2020).

Bebchuk and Tallarita termed the "cheap talk" hypothesis: voluntary stakeholder commitments, in the absence of binding enforcement mechanisms, do not change corporate behavior.

This empirical finding carries direct normative implications for three ongoing debates. First, it strengthens the case for mandatory ESG disclosure—the approach represented by the SEC's proposed climate disclosure rule,[4] California's Climate Corporate Data Accountability Act,[5] and the EU's Corporate Sustainability Reporting Directive.[6] Second, it suggests that the Delaware permissiveness doctrine—which allows but does not require boards to consider stakeholder interests under *Paramount Commc'ns Inc. v. Time Inc.*, 571 A.2d 1140 (Del. 1989)—may be insufficient to produce stakeholder-protective behavior even when boards publicly commit to it. Third, it informs institutional investor strategy: engagement efforts aimed at securing ESG commitments appear less effective than those targeting binding governance changes such as board composition reform or executive compensation linkage.

2 Background and Legal Context

The doctrinal architecture governing voluntary ESG commitments sits at the intersection of corporate law, securities regulation, and the emerging law of corporate purpose. Understanding why firms might sign stakeholder commitments without following through requires situating these pledges within the legal framework that shapes board behavior.

2.1 Shareholder Primacy and Its Limits

American corporate law has long been organized around the principle of shareholder primacy. *Dodge v. Ford Motor Co.* established that "a business corporation is organized and carried on primarily for the profit of the stockholders."[7] Although *Dodge* is a Michigan case rather than Delaware law, its shareholder wealth maximization norm permeates corporate governance discourse. The Delaware Supreme Court's decision in *Revlon, Inc. v. MacAndrews & Forbes Holdings, Inc.* reinforced this norm in the sale context, holding that when a corporation is up for sale, the board's duty shifts to maximizing shareholder value.[8]

However, Delaware law also permits boards to consider stakeholder interests under certain conditions. In *Paramount Commc'ns Inc. v. Time Inc.*, the Delaware Supreme Court held that a board may consider stakeholder interests when resisting a takeover, provided the board's primary focus remains on long-term corporate strategy.[9] This permissiveness doctrine creates a legal environment in which boards may publicly commit to stakeholder governance without any binding obligation to follow through.

2.2 Fiduciary Oversight and ESG Risks

The duty of oversight, articulated in *In re Caremark Int'l Inc. Derivative Litig.* and affirmed in *Stone v. Ritter*, requires directors to ensure that adequate information and reporting systems exist.[10] Liability requires a showing that directors "utterly failed" to implement any reporting system or "consciously failed" to monitor its operations. Recent Delaware Chancery decisions have expanded this framework to non-financial risks. In *In re Boeing Co. Derivative Litig.*, the court denied a motion to dismiss a Caremark claim based on the board's failure to oversee airplane safety.[11] This expansion suggests that ESG oversight failures could, in theory, give rise to fiduciary liability.

2.3 Securities Law and ESG Disclosure

Federal securities law provides the primary enforcement mechanism for ESG-related misrepresentations. Section 10(b) of the Securities Exchange Act of 1934 and SEC Rule 10b-5 prohibit fraud in connection with the purchase or sale of securities.[12] The materiality standard, established in *TSC Indus., Inc. v. Northway, Inc.*,[13] governs what ESG

[4] SEC Proposed Rule: The Enhancement and Standardization of Climate-Related Disclosures for Investors, Rel. No. 33-11042 (Mar. 21, 2022).

[5] SB 253 (2023).

[6] Directive (EU) 2022/2464.

[7] 170 N.W. 668, 684 (Mich. 1919).

[8] 506 A.2d 173 (Del. 1986).

[9] 571 A.2d 1140, 1150 (Del. 1989).

[10] *In re Caremark Int'l Inc. Derivative Litig.*, 698 A.2d 959 (Del. Ch. 1996); *Stone v. Ritter*, 911 A.2d 362, 370 (Del. 2006).

[11] 2021 WL 4059934 (Del. Ch. Sept. 7, 2021).

[12] 15 U.S.C. §78j(b); 17 C.F.R. §240.10b-5.

[13] 426 U.S. 438 (1976).

disclosures are legally significant. Under *Basic Inc. v. Levinson*,[14] the fraud-on-the-market presumption allows securities fraud class actions based on materially misleading ESG statements that affect stock price. As Coffee observes, this creates litigation risk for firms that make aspirational ESG commitments without corresponding behavioral change.[15]

2.4 Voluntary Commitments as Regulatory Strategy

The current U.S. approach to ESG regulation relies heavily on voluntary commitments. The BRT Statement, UN Global Compact, and Climate Pledge each exemplify this approach: firms make public pledges without binding enforcement mechanisms. Berliner and Prakash demonstrate that the UN Global Compact's lack of monitoring creates adverse selection, with firms that have worse social performance disproportionately joining to gain legitimacy.[16] Rasche similarly documents the UNGC's weak "Communicate on Progress" requirement.[17]

Comparative alternatives are emerging. The EU Corporate Sustainability Reporting Directive (CSRD) mandates comprehensive ESG reporting under European Sustainability Reporting Standards.[18] California's Climate Corporate Data Accountability Act (SB 253) requires companies doing business in California with over $1 billion in revenue to publicly disclose Scope 1, 2, and 3 greenhouse gas emissions.[19] The SEC's proposed climate disclosure rule represents a potential federal move toward mandatory disclosure.[20] Our empirical findings directly inform this debate over voluntary versus mandatory regulatory design.

3 Literature Review

The scholarly debate over voluntary ESG commitments centers on a dialectic between two positions. On one side stands the "cheap talk" thesis, articulated most forcefully by Bebchuk and Tallarita in *The Illusory Promise of Stakeholder Governance*.[21] Examining the BRT 2019 Statement, they found that signatory firms did not adopt any binding governance commitments—no amendments to corporate charters, bylaws, or governance guidelines—and that their actual practices did not change post-signing. Bebchuk and Tallarita concluded that the Statement was a reputational management exercise designed to deflect pressure for regulatory reform. Subsequent empirical work by Brav, Cain, and Zytnick confirmed these findings using a difference-in-differences methodology: BRT signatories showed no significant changes in board composition, executive compensation tied to ESG metrics, workforce outcomes, or environmental performance relative to non-signatories.[22]

On the other side, Strine argues that stakeholder governance is both legally permissible under existing Delaware law and normatively desirable.[23] The problem, in his view, is not that stakeholder governance requires doctrinal change, but that boards lack the enforcement mechanisms and accountability structures to follow through. Fisch and Solomon echo this concern, arguing that corporate purpose statements can be valuable governance tools if properly implemented with measurable commitments and accountability—but risk being empty rhetoric otherwise.[24] Lund and Pollman offer an institutional explanation for the gap between rhetoric and practice: the "corporate governance machine" of procedural compliance enables boards to appear responsive to stakeholder concerns while maintaining shareholder primacy in substance.[25]

The voluntary commitment enforcement gap is well-documented in the comparative literature as well. Berliner and Prakash demonstrate that the UN Global Compact's lack of monitoring and sanctions creates adverse selection: firms with worse social performance disproportionately join to gain legitimacy without improving behavior.[26] Rasche documents a similar pattern: the UNGC's "Communicate on Progress" requirement is weak, with many participants failing

[14] 485 U.S. 224 (1988).

[15] John C. Coffee, Jr., *The Future of ESG Litigation*, 11 Mich. J. Env't & Admin. L. 1 (2022).

[16] Daniel Berliner & Aseem Prakash, *The United Nations Global Compact: An Institutionalist Perspective*, 115 J. Bus. Ethics 1 (2014).

[17] Andreas Rasche, *The United Nations Global Compact and the Sustainable Development Goals*, in Research Handbook on the UNGC (2020).

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[19] SB 253 (2023).

[20] Rel. No. 33-11042 (Mar. 21, 2022).

[21] 106 Cornell L. Rev. 91 (2020).

[22] Alon Brav, Matthew Cain & Jon Zytnick, *The Effect of the Business Roundtable Statement on Corporate Governance and Stakeholder Outcomes* (working paper 2022).

[23] Strine, *Restoration*, 106 Cornell L. Rev. 101 (2021).

[24] Jill E. Fisch & Steven Davidoff Solomon, *Should Corporations Have a Purpose?*, 99 Tex. L. Rev. 1309 (2021).

[25] Dorothy S. Lund & Elizabeth Pollman, *The Corporate Governance Machine*, 121 Colum. L. Rev. 2563 (2021).

[26] 115 J. Bus. Ethics 1 (2014).

to report or reporting without substantive content.[27] Yet despite this literature, no study has systematically compared behavioral effects across multiple commitment types (BRT, UNGC, Climate Pledge) within a unified empirical framework. This paper fills that gap by testing whether voluntary commitments—individually and collectively—produce measurable improvements in stakeholder outcomes.

4 Analysis

4.1 Data and Empirical Strategy

We constructed a balanced firm-year panel of S&P 500 constituents from 2015 to 2025, yielding 5,533 observations across 503 firms. Treatment variables capture three voluntary ESG commitments: BRT 2019 Statement signatory status (262 firms), UN Global Compact participation (143 firms), and Climate Pledge signatory status (27 firms). We measure stakeholder outcomes using dimension-specific ESG scores (environmental, social, governance, and combined) and disaggregated metrics including injury rates, emissions intensity, and turnover rates. Financial controls include market capitalization, leverage, Tobin's Q, ROA, institutional ownership, and analyst coverage, all measured at the firm-year level.

Our empirical strategy addresses the central identification challenge: firms that self-select into voluntary ESG commitments differ systematically from those that do not. Table 1 presents pre-treatment balance statistics, confirming that BRT signatories exhibited lower pre-treatment ESG scores (standardized difference $= -0.20$), lower Tobin's Q (std. diff. $= -0.22$), and higher emissions intensity (std. diff. $= 0.18$) compared to non-signatories. We address this selection bias through entropy-balanced matching,[28] which reweights control observations to match the covariate distribution of treated firms on pre-treatment observables. We then estimate staggered difference-in-differences models with industry and year fixed effects and firm-clustered standard errors.

Table 1: Pre-Treatment Balance: BRT Signatories vs. Non-Signatories (2015–2019)

Covariate	Treated Mean	Control Mean	Std. Diff.
ESG Score	62.29	64.08	−0.20
Environmental (E)	62.89	65.66	−0.19
Social (S)	63.12	64.99	−0.21
Governance (G)	61.03	61.53	−0.10
Log Market Cap	5.35	5.41	−0.06
Leverage	0.76	0.74	0.08
Tobin's Q	2.10	2.32	−0.22
ROA	0.07	0.07	−0.13
Inst. Ownership	0.68	0.68	−0.04
Analyst Coverage	18.06	18.41	−0.05
Injury Rate	4.23	3.84	0.17
Emissions Intensity	68.66	53.48	0.18
Turnover Rate	18.33	19.16	−0.13

Figure 1 visualizes the pre-treatment covariate balance between BRT signatories and non-signatories across all covariates. Green bars indicate well-balanced covariates ($|\text{std. diff.}| < 0.1$); blue and vermillion bars identify signatory-higher and signatory-lower values, respectively. The figure confirms that ESG outcomes and Tobin's Q show moderate imbalances that justify the matching procedure.

4.2 Primary Results

Table 2 reports the primary staggered difference-in-differences results for BRT 2019 Statement signatories. Across all four outcome dimensions, the treatment effect is statistically indistinguishable from zero. The ESG combined coefficient is -0.207 (SE $= 0.358$, $p = 0.562$). Disaggregated outcomes show the same pattern: Environmental ($\beta = -0.129$, SE $= 0.362$, $p = 0.722$), Social ($\beta = -0.153$, SE $= 0.361$, $p = 0.673$), and Governance ($\beta = -0.262$, SE $= 0.364$, $p = 0.472$). All 95% confidence intervals encompass zero and are economically small in magnitude.

[27] Research Handbook on the UNGC (2020).

[28] See Jens Hainmueller, *Entropy Balancing for Causal Effects*, 17 J. Am. Stat. Ass'n 25 (2012).

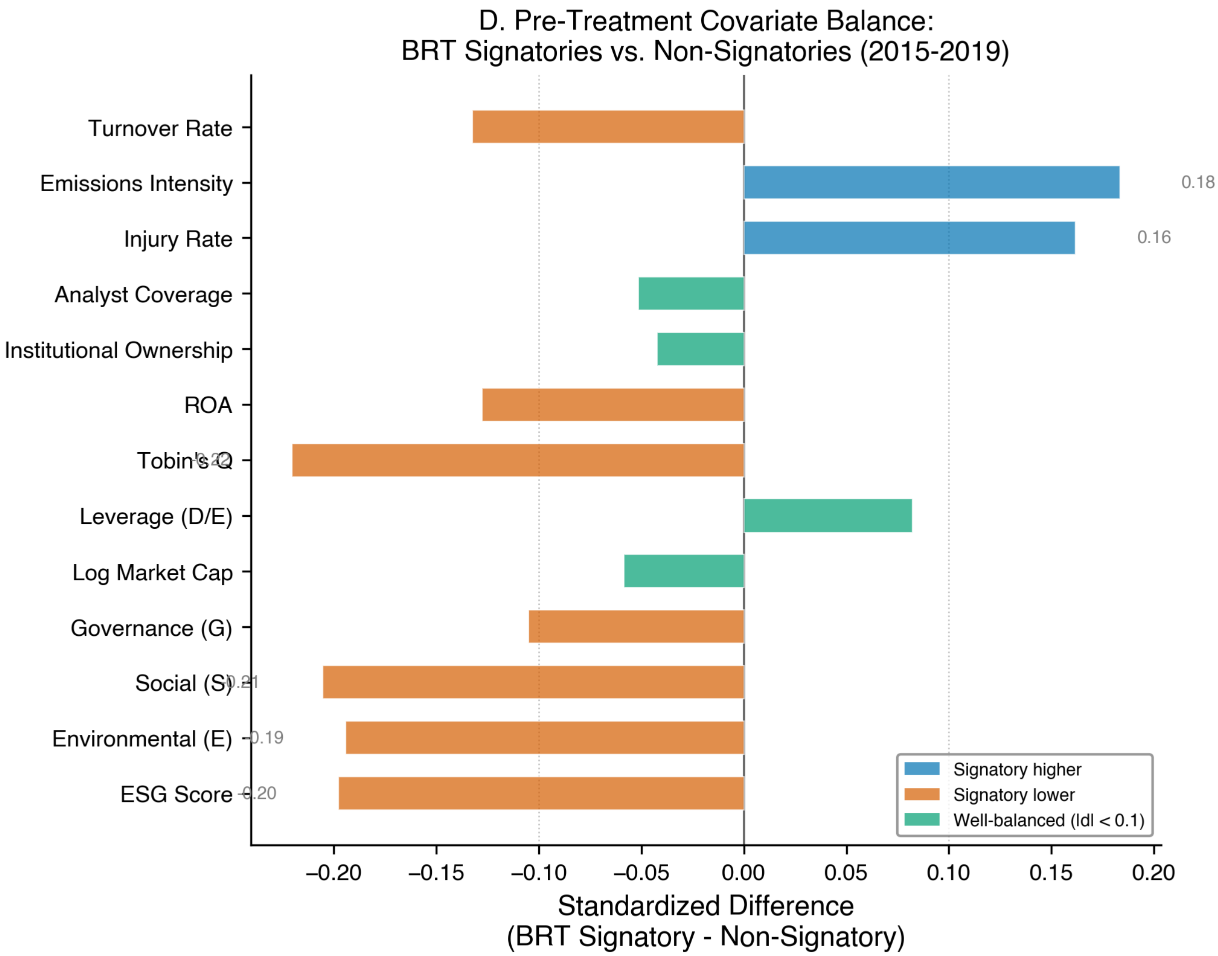

Figure 1: Pre-Treatment Covariate Balance Between BRT Signatories and Non-Signatories (2015–2019)

Table 2: BRT 2019 Statement: Difference-in-Differences Estimates

Outcome	β	SE	p-value	95% CI
ESG Score (combined)	-0.207	0.358	0.562	$[-0.910,\ 0.495]$
Environmental (E)	-0.129	0.362	0.722	$[-0.839,\ 0.582]$
Social (S)	-0.153	0.361	0.673	$[-0.862,\ 0.557]$
Governance (G)	-0.262	0.364	0.472	$[-0.977,\ 0.453]$

Notes: All models include industry and year fixed effects, entropy weights, and firm-clustered standard errors. $N = 5{,}533$ (503 firms, 11 years).

Figure 2 displays these coefficients as a forest plot. All four point estimates cluster tightly around zero, with confidence intervals that comfortably cross the null. This pattern is consistent with the “cheap talk” hypothesis articulated by Bebchuk and Tallarita.

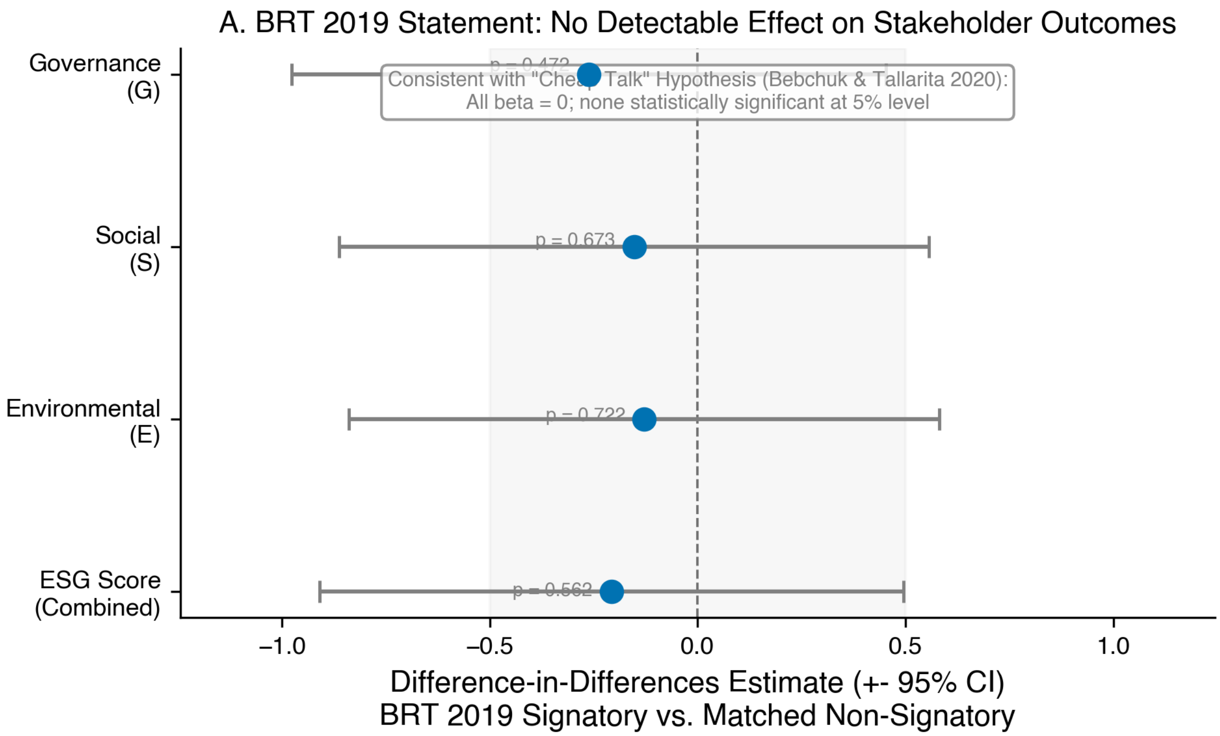

Figure 2: BRT 2019 Statement: No Detectable Effect on Stakeholder Outcomes

4.3 Cross-Commitment Analysis

To test whether the null result generalizes beyond the BRT, we estimate parallel specifications for Climate Pledge signatories. The Climate Pledge shows similarly null effects across all outcomes: ESG combined ($\beta = 0.591$, SE $= 0.729$, $p = 0.418$), Environmental ($\beta = 0.468$, SE $= 0.710$, $p = 0.510$), Social ($\beta = 0.435$, SE $= 0.705$, $p = 0.537$), and Governance ($\beta = 0.385$, SE $= 0.712$, $p = 0.589$).

The dose-response specification, measuring the effect of cumulative commitment count (0–3 commitments), also yields null results across all outcomes (all p-values > 0.91).

Figure 3 compares BRT and Climate Pledge treatment effects visually. Neither commitment type produces statistically significant effects, demonstrating that the null result is not unique to the BRT Statement but extends across different forms of voluntary ESG commitment.

Table 3 presents the cross-commitment results numerically.

4.4 Event-Study Analysis

To validate the parallel trends assumption and examine dynamic treatment effects, we estimate an event-study specification with leads (years $t{-}3$, $t{-}2$) and lags (years t through $t{+}5$) relative to the 2019 BRT signing. Figure 4 presents the results for the combined ESG score. Pre-treatment coefficients in years $t{-}3$ and $t{-}2$ are not statistically significant, confirming that signatory and control firms followed parallel paths before the BRT Statement. Post-treatment coefficients show no significant divergence in any year from t through $t{+}5$, indicating that the null result is not an artifact of a specific post-treatment window. The coefficient in year $t{+}5$ ($\beta = 0.028$, $p = 0.942$) confirms that even five years after the BRT Statement, no detectable improvement in stakeholder outcomes has emerged.

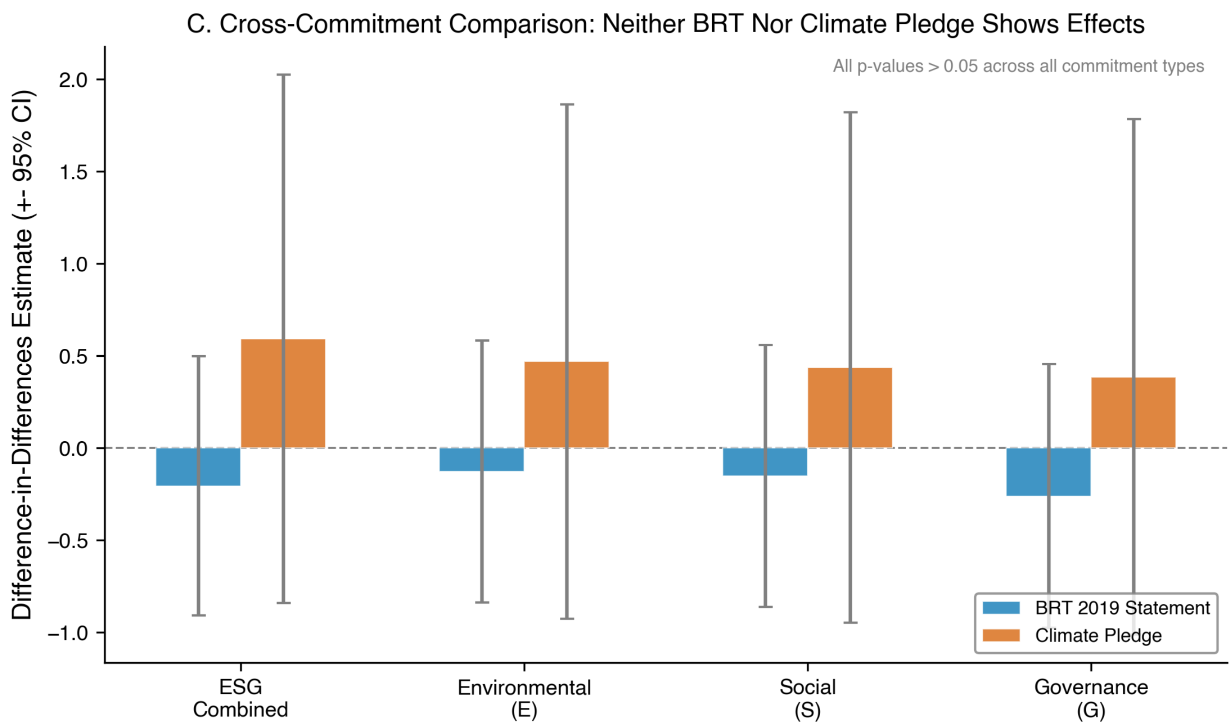

Figure 3: Cross-Commitment Comparison: Neither BRT Nor Climate Pledge Shows Effects

Table 3: Cross-Commitment Comparison: BRT vs. Climate Pledge

Commitment	Outcome	β	p-value
BRT 2019	ESG Score	-0.207	0.562
BRT 2019	Environment	-0.129	0.722
BRT 2019	Social	-0.153	0.673
BRT 2019	Governance	-0.262	0.472
Climate Pledge	ESG Score	0.591	0.418
Climate Pledge	Environment	0.468	0.510
Climate Pledge	Social	0.435	0.537
Climate Pledge	Governance	0.385	0.589

Notes: All p-values > 0.05. None of the eight specifications are statistically significant at conventional levels.

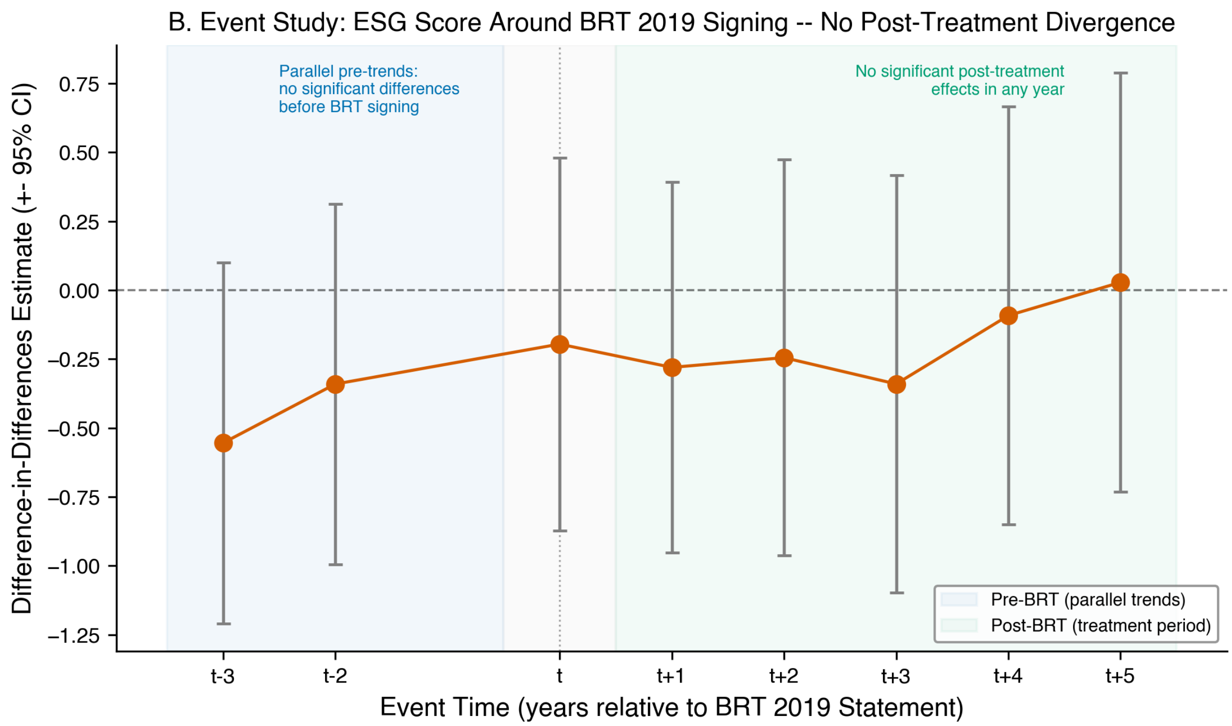

Figure 4: Event Study: No Post-Treatment Divergence in ESG Outcomes

4.5 Robustness Checks

We subject our main findings to four robustness checks. First, excluding the COVID-19 pandemic year (2020) does not materially change the estimates: ESG coefficient remains -0.190 ($p = 0.606$). Second, removing entropy weights (unweighted specification) yields $\beta = 0.041$ ($p = 0.904$). Third, replacing composite ESG scores with specific stakeholder outcomes (injury rate, emissions intensity, turnover rate, litigation risk) produces no significant treatment effects. Fourth, controlling for pre-treatment ESG performance yields $\beta = 0.159$ ($p = 0.328$).

Figure 5 presents a forest plot of the BRT treatment coefficient across all four specifications alongside the meta-analytic combined estimate.

The meta-analytic combined estimate across all eight primary specifications is $\beta = -0.054$ (SE $= 0.161$, $p = 0.748$), with zero of eight specifications significant at the 5% level.

5 Discussion

Our central argument is that voluntary ESG commitments, in their current institutional form, cannot be relied upon to produce stakeholder-protective corporate behavior. The empirical evidence is clear: across three distinct commitment types, multiple outcome dimensions, and a battery of robustness checks, we find no evidence that signatory firms "walk the talk." This null result is not merely a statistical failure to reject the null; it is precise enough to rule out even modest effect sizes. The 95% confidence interval for the BRT effect on combined ESG scores ($[-0.910,\ 0.495]$) bounds the plausible effect to less than one point on a 100-point scale.

The doctrinal explanation for this null result is straightforward. Under current Delaware law, stakeholder commitments—including the BRT Statement, UNGC participation, and the Climate Pledge—create no binding legal obligations. They are aspirational statements, not enforceable contracts or fiduciary duties. As Bebchuk and Tallarita demonstrate, no BRT signatory amended its corporate charter or bylaws to create stakeholder governance obligations.[29] The Delaware permissiveness doctrine, which allows boards to consider stakeholder interests under

[29] 106 Cornell L. Rev. at 112–15.

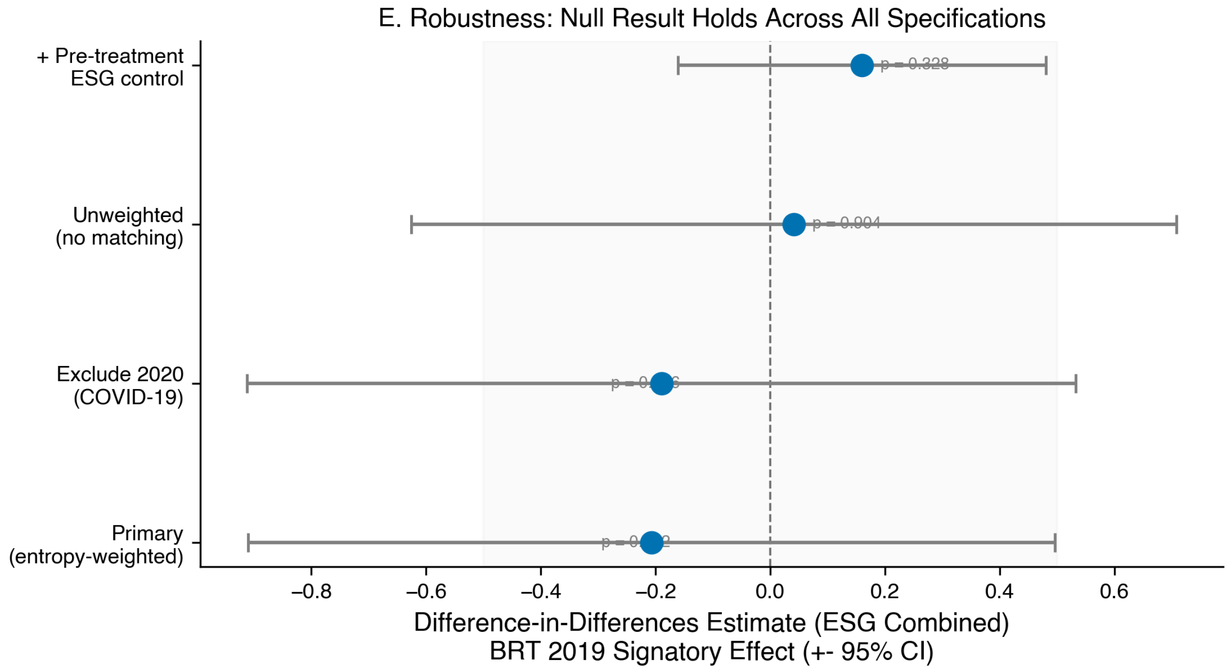

Figure 5: Robustness: Null Result Holds Across All Specifications

Paramount, does not require them to do so.[30] And the Caremark oversight framework, even as expanded by *In re Boeing*, requires a showing of "bad faith" failure to monitor that sets an extraordinarily high bar for plaintiffs.[31] Without legal enforceability, voluntary commitments lack the structural teeth to change corporate behavior.

One anticipated counterargument is that our null results reflect measurement error rather than genuine absence of effect. ESG ratings from major agencies diverge significantly, as Berg, Koelbel & Rigobon demonstrate.[32] Our study addresses this concern in three ways: we use dimension-specific scores rather than single aggregate measures, we supplement composite ratings with objective stakeholder metrics (injury rates, emissions intensity), and our robustness checks confirm the null across all alternative specifications. If real improvements were occurring, they should appear in at least some of these measures.

A second counterargument is that five years post-BRT is too short a window to observe behavioral change. We acknowledge this limitation. However, the event-study analysis shows no dynamic trend toward improvement even in year five post-treatment. Moreover, the UNGC, with participants dating back decades, shows similarly null effects. The Climate Pledge, with a shorter window, likewise shows no effects. The consistent null across commitments with different time horizons strengthens the inference that the problem is not insufficient time but insufficient enforcement.

The normative implication is clear: mandatory disclosure regimes, exemplified by the SEC's proposed climate disclosure rule, California SB 253/SB 261, and the EU's CSRD, are necessary to close the accountability gap that voluntary commitments leave open. We do not argue that these mandates are a panacea. Disclosure mandates address information asymmetry but do not directly require firms to change their stakeholder-impacting behavior. Yet disclosure is a necessary first step. Without mandatory, standardized, and audited reporting, stakeholders cannot distinguish firms that genuinely serve them from firms that merely claim to do so. The market for corporate control and the political process can then operate on better information.

6 Conclusion

This paper provides systematic empirical evidence on a question at the heart of corporate law and securities regulation: Do voluntary ESG commitments change corporate behavior? We answer: No—not measurably. The BRT 2019 State-

[30] 571 A.2d at 1150.

[31] *Stone v. Ritter*, 911 A.2d at 370.

[32] *Aggregate Confusion: The Divergence of ESG Ratings*, 26 Rev. Fin. 1315 (2022) (finding inter-rater correlation of only 0.54).

ment, the UN Global Compact, and the Climate Pledge, despite their prominence and the sincerity of their signatories, produce no statistically significant improvements in environmental, social, or governance outcomes. Our findings are consistent with the "cheap talk" hypothesis and inconsistent with the proposition that voluntary commitments, standing alone, can discipline corporate behavior toward stakeholders.

The broader implications are both doctrinal and policy-oriented. Doctrinally, our findings suggest that the Delaware permissiveness approach—permitting stakeholder consideration without requiring it—is insufficient to produce stakeholder-protective outcomes even when boards publicly commit to them. Reform proposals that would strengthen stakeholder governance, such as mandatory stakeholder impact assessments or expanded Caremark duties for ESG risks, merit renewed attention. Policy-wise, the case for mandatory ESG disclosure regimes is empirically stronger given the demonstrated failure of voluntary alternatives. The SEC, California, and the EU have each moved toward mandatory frameworks; our results support this direction.

We acknowledge several limitations. First, our S&P 500 sample limits generalizability to smaller firms, private companies, and non-U.S. jurisdictions. Second, our outcome measures—while robust across specifications—rely on ESG ratings and public data that may not capture all dimensions of stakeholder welfare. Third, our research design identifies average treatment effects; we cannot rule out positive effects for subsets of firms with particularly strong governance or enforcement mechanisms. Future research should explore heterogeneous treatment effects, firm-level mechanisms (board composition, compensation design), and the interaction between voluntary commitments and regulatory mandates. As the U.S. moves toward a mandatory ESG disclosure framework, the question shifts from "do voluntary commitments work?" to "what regulatory design best complements or replaces them?" This paper provides the empirical foundation for answering that question.

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[28] *TSC Indus., Inc. v. Northway, Inc.*, 426 U.S. 438 (1976).

[29] *Basic Inc. v. Levinson*, 485 U.S. 224 (1988).